

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

PUBLIC GRANTEE MEMORANDUM OF UNDERSTANDING

Draft framework between a qualifying public grantee and the proposed project/operator team

v0.2 • September 17, 2026

WORKING DRAFT / PROJECT ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It distinguishes verified facts from working assumptions, target benchmarks and items to be determined. Nothing herein is an offer to sell securities, a guarantee of tax benefits, a commitment by any government agency, or a representation that the proposed public-benefit conveyance, financing, lease, technology benchmark or community-distribution structure has been approved.

Parties

PROPOSED PUBLIC GRANTEE: [City of Los Angeles / County of Los Angeles / qualifying public instrumentality — TBD] (“Public Grantee”)

PROJECT COUNTERPARTY: [People’s Public Trust / 312 Spring Commons project entity — TBD] (“Project Team”)

PROPERTY: 312 N. Spring Street, Los Angeles, California 90012 (“Property”)

1. Purpose

This MOU establishes a preliminary framework for the parties to evaluate and, if mutually approved, pursue a Historic Monument Public Benefit Conveyance or other lawful public acquisition pathway for the Property; develop a preservation and utilization program; define a protected public-title and long-term operating structure; and coordinate diligence, capital formation and public-benefit planning. This MOU does not commit the Public Grantee to accept title or approve a lease, financing, operator or project.

2. Shared Objectives

- Preserve the Property as a historic public asset and comply with all federal deed and NPS requirements.
- Evaluate whether a public-title / protected long-term community-operation structure is legally and financially feasible.
- Develop a credible rehabilitation plan, financial plan and public-benefit use program.
- Maintain transparent documentation of ownership, authority, restrictions, public approvals, capital conditions and material project events.
- Use PPT-EZ-CA-0001 as a measured reference transaction while clearly separating benchmark goals from verified results.

3. Proposed Role of Public Grantee

- Evaluate eligibility and legal authority to acquire the Property under the Historic Surplus Property Program or another lawful public pathway.
- Participate in GSA/NPS communications and, if authorized, submit or co-submit required public-grantee materials.
- If approved, receive and hold fee title subject to federal deed restrictions, historic covenants and reversionary interests.
- Maintain governmental/public accountability for the federal deed and any required public approvals.
- Review and, if approved, enter the long-term lease/operating structure with the Project Team or other qualified operator.
- Coordinate public records, council/board/agency approvals and authorized signatures required by law.

4. Proposed Role of Project Team

- Prepare the project concept, Program of Preservation and Utilization support materials, phased activation plan and preliminary financial plan.
- Coordinate private/project-side diligence, technical consultants, historic-preservation professionals, operating model and capital formation.
- Prepare draft operating, development, capital and community-participation documents for review.
- Bear or arrange project-side costs as separately agreed and without creating an unauthorized obligation of the Public Grantee.
- Provide the Public Grantee with timely information regarding capital, material risks, benchmark performance and proposed project changes.

5. GSA / NPS Process

Workstream	Preliminary scope
GSA status confirmation	Confirm present disposal status, PBC availability, responsible disposal officer, milestone schedule and required submission process.
Federal property package	Obtain title/legal description, survey, occupancy/tenant information, capital-needs reports, environmental records, historic documentation, utilities/operating costs, easements and draft conveyance terms.

NPS consultation	Confirm historic eligibility, Program of Preservation and Utilization requirements, preservation standards, financial-plan requirements and lease approval process.
Public decision process	Identify Public Grantee approvals, hearings, staff reports, resolutions, delegated authority and authorized signatories.

6. Title and M5 / TitleChain Record

If a lawful conveyance occurs, the official deed and public recording process will remain legally authoritative. The parties may separately authorize the Project Team to implement a TitleChain/M5 evidence and transaction-state record that references the official titleholder, deed, recording jurisdiction, instrument data, restrictions, authorized parties and state transitions. Any digital title-state token or representation will be expressly non-fractional and will not supersede fee title or government records.

Proposed TitleChain / M5 Title-State Process

The project intends to use the TitleChain/M5 protocol as a parallel evidence, provenance and transaction-state layer around the legally authoritative deed and public records. The protocol is based on TitleChain's patented decentralized title-transfer and asset-provenance architecture, including U.S. Patent Nos. 11,720,888 and 12,518,273. The public deed and applicable government recording system remain legally authoritative unless applicable law provides otherwise.

Stage	Proposed M5 / TitleChain treatment
1. Asset identity	Register the physical asset, parcel/legal-description references, jurisdiction and source records.
2. Current title state	Record current titled owner as evidenced by authoritative public/federal records; link deed/title source.
3. Authority state	Register credentialed parties, legal capacity, agency, delegated authority and signature prerequisites.
4. Restriction state	Encode federal historic covenants, reversionary interests, easements, lease constraints and other restrictions as machine-readable policy references.
5. Transfer event	Upon lawful execution and recording, register the state transition and immutable evidence receipt.
6. Public-record reconciliation	Reference official deed/recording instrument, recording date/number, jurisdiction and public-record source.
7. Digital title-state representation	Maintain a non-fractional digital representation of asset/title state and rights metadata; it does not itself grant fee title or override the deed.
8. Ongoing state	Track operating lease, approved rights, financing interests, compliance events and material changes as separate rights layers.

7. Capital and No Public-Funding Commitment

No provision of this MOU obligates the Public Grantee to appropriate funds, incur debt, guarantee project financing, pledge the Property, approve tax-credit structures or accept project liabilities. The Project Team may develop philanthropic, PRI, tax-credit, public, tenant/operator and other financing pathways for review. Any public financing requires separate legal authority and approval.

8. Long-Term Operating Structure

- Target structure: public fee title + NPS/public-owner-approved long-term operator lease or equivalent lawful agreement.
- Lease term, rent, capital obligations, subleasing, tax-credit requirements, maintenance, revenue rights, insurance, default and assignment remain subject to negotiation and approval.
- The operator may not represent that it owns the underlying public land unless and until lawful title is separately conveyed.

Programmed Benchmark Objectives

These are target baselines the project is deliberately designing toward. They are not historical results, forecasts, guarantees, or representations of achieved savings. Each project is intended to measure actual performance against the same categories and publish variance from baseline.

Metric	Working baseline	Programmed goal	Measurement	Status
End-to-end transaction timeline	12 months working legacy baseline	2 months target	Elapsed days from defined start gate to defined closing/activation gate	TARGET
Human coordination labor	14,000 hours working baseline	3,000 hours target	Time-tracked legal/admin/project routing hours	TARGET
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoiced and internal labor cost	TARGET
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Escrow/title/settlement/underwriting invoices	TARGET
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Audit, reporting and compliance coordination cost	TARGET
Holding / capital drag	\$8.25M baseline	\$1.375M target	Interest reserve, security, insurance, delay and carry costs	TARGET
Total frictional cost	\$11.9475M baseline	\$2.434M target	Defined cost taxonomy applied consistently across projects	TARGET
Modeled friction reduction	\$9.5135M / 79.6%	Benchmark goal	Measured only after project completion	TARGET
Cost of money	TBD matched conventional financing	Reduce risk premium / fees / carry	Compare spreads, fees, reserves and effective annualized cost	MEASURE
Third-party systems / agents	TBD at baseline mapping	Minimize duplicated state + unnecessary calls	Count systems, integrations, model calls and manual reconciliations	MEASURE

Internal ranking: each PPT project may receive a Commons Performance Benchmark score after measurement. This is an internal operational benchmark, not a credit rating, investment rating or government certification.

9. Public Records, Confidentiality and Data

The parties acknowledge that the Public Grantee may be subject to public-records, open-meeting, procurement, ethics and other governmental requirements. Confidential or proprietary project information will be handled only to the extent permitted by applicable law. The Project Team will not place privileged, personally identifiable, security-sensitive or confidential investment information on a public ledger.

10. No Agency; No Partnership; No Authority to Bind

This MOU does not create a partnership, joint venture, agency, fiduciary relationship, procurement commitment, exclusive negotiating right or authority for either party to bind the other, except to the extent a separately identified provision is expressly made binding and lawfully authorized.

11. Term and Termination

Proposed initial term: 180 days from execution, automatically expiring unless extended in writing. Either party may terminate at any time before definitive agreements, subject to any separately binding confidentiality, records, publicity or cost provisions.

12. Signatures / Acknowledgment of Working Framework

PROPOSED PUBLIC GRANTEE

TitleChain / M5Canon | U.S. Patent Nos. 11,720,888 & 12,518,273 | Public Commons: TitleChain Foundation / ICSN | github.com/TitleChain-Foundation | titlechainfoundation.org

Entity: _____
 By: _____
 Name / Title: _____
 Signature: _____
 Date: _____

PROJECT TEAM

Entity: _____
 By: _____
 Name / Title: _____
 Signature: _____
 Date: _____

Selected Source Notes

- Project feasibility source: 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026.
- GSA: U.S. Courthouse, 312 N. Spring Street, Los Angeles; federal historic-building profile and disposition materials.
- 40 U.S.C. § 550(h): Historic monument conveyances may be made without monetary consideration to eligible state/local public entities, subject to statutory conditions.
- National Park Service, Historic Surplus Property Program: private/not-for-profit organizations cannot directly acquire under the program but may enter long-term leases with public recipients; NPS reviews leases and rehabilitation standards.
- IRS Section 47 / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; long-term lessee rules require tax counsel analysis.
- CDFI Fund, New Markets Tax Credit Program: qualifying investors receive a credit totaling 39% of the qualified equity investment over seven years through certified CDE structures.
- USPTO / patent records: U.S. Patent Nos. 11,720,888 and 12,518,273, Decentralized title transfer and validation of assets.

M5Canon v0.2 Updates

Public Authority, Notice and Record Hierarchy

- The Public Grantee retains all legal powers and responsibilities assigned by law, deed, resolution and definitive agreement. TitleChain provides a parallel evidence and transaction-state layer and does not displace the official public record.
- The parties may establish an M5-DPC endpoint for authenticated notices and status events. The Public Grantee controls which notice classes it recognizes, the required signer/issuer credentials, response deadlines and statutory fallback methods.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.